

COMMITTEE ON PUBLIC SAFETY
SENATE AMENDMENTS TO S.B. 1046
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 18, Arizona Revised Statutes, is amended by adding
3 chapter 8, to read:

4 CHAPTER 8

5 PROHIBITED TELECOMMUNICATIONS INFRASTRUCTURE

6 ARTICLE 1. GENERAL PROVISIONS

7 18-801. Definitions

8 IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

9 1. "CRITICAL TELECOMMUNICATIONS INFRASTRUCTURE" MEANS ALL PHYSICAL
10 BROADBAND INFRASTRUCTURE AND EQUIPMENT THAT MEET ALL OF THE FOLLOWING
11 REQUIREMENTS:

12 (a) SUPPORT THE TRANSMISSION OF INFORMATION OF A USER'S CHOOSING,
13 REGARDLESS OF THE TRANSMISSION MEDIUM OR TECHNOLOGY EMPLOYED.

14 (b) CONNECT TO A NETWORK THAT IS OWNED BY A PUBLICLY REGULATED
15 UTILITY AND THAT ALLOWS THE END USER TO ENGAGE IN COMMUNICATIONS,
16 INCLUDING SERVICE PROVIDED DIRECTLY TO THE PUBLIC OR TO THE CLASSES OF
17 USES AS TO BE EFFECTIVELY AVAILABLE DIRECTLY TO THE PUBLIC.

18 (c) CONTAIN AT LEAST ONE MICROCHIP.

19 2. "FOREIGN ADVERSARY" MEANS THE PEOPLE'S REPUBLIC OF CHINA.

20 3. "TELECOMMUNICATIONS PROVIDER" MEANS ANY CORPORATION, PUBLIC OR
21 PRIVATE, THAT OFFERS TELECOMMUNICATIONS SERVICES.

22 4. "TELECOMMUNICATIONS SERVICES" HAS THE SAME MEANING PRESCRIBED IN
23 SECTION 9-581.

24 18-802. Critical telecommunications infrastructure;
25 prohibited equipment; replacement; notification

26 A. A CRITICAL TELECOMMUNICATIONS INFRASTRUCTURE THAT IS LOCATED
27 WITHIN OR THAT SERVES THIS STATE MUST BE CONSTRUCTED WITHOUT INCLUDING ANY
28 EQUIPMENT THAT IS MANUFACTURED BY A FOREIGN ADVERSARY.

1 B. A CRITICAL TELECOMMUNICATIONS INFRASTRUCTURE THAT IS LOCATED
2 WITHIN OR THAT SERVES THIS STATE MUST BE CONSTRUCTED WITHOUT HAVING ANY
3 EQUIPMENT THAT IS MANUFACTURED IN OR BY, INCLUDING ANY EQUIPMENT WHOSE
4 CRITICAL OR NECESSARY COMPONENTS ARE MANUFACTURED IN OR BY, A FOREIGN
5 ADVERSARY, A STATE-OWNED ENTERPRISE OF A FOREIGN ADVERSARY, A COMPANY THAT
6 IS DOMICILED WITHIN A FOREIGN ADVERSARY OR A COMPANY THAT IS OWNED BY [A
7 FOREIGN ADVERSARY] OR WHERE A FOREIGN ADVERSARY IS ENTITLED TO CONTROL THE
8 COMPANY BY THE COMPANY'S GOVERNING DOCUMENTS, A FOREIGN ADVERSARY
9 STATE-OWNED ENTERPRISE OR A FOREIGN ADVERSARY-DOMICILED COMPANY.

10 C. A CRITICAL TELECOMMUNICATIONS INFRASTRUCTURE THAT OPERATES
11 WITHIN OR THAT SERVES THIS STATE, INCLUDING ANY CRITICAL
12 TELECOMMUNICATIONS INFRASTRUCTURE THAT IS NOT PERMANENTLY DISABLED, MUST
13 REMOVE AND REPLACE ALL EQUIPMENT THAT IS PROHIBITED BY THIS SECTION WITH
14 EQUIPMENT THAT IS NOT PROHIBITED BY THIS SECTION.

15 D. A TELECOMMUNICATIONS PROVIDER THAT REMOVES, DISCONTINUES OR
16 REPLACES ANY PROHIBITED TELECOMMUNICATIONS EQUIPMENT OR SERVICE IS NOT
17 REQUIRED TO OBTAIN ANY ADDITIONAL PERMIT FROM ANY STATE AGENCY OR
18 POLITICAL SUBDIVISION OF THIS STATE TO REMOVE, DISCONTINUE OR REPLACE THE
19 TELECOMMUNICATIONS EQUIPMENT OR SERVICE IF THE STATE AGENCY OR POLITICAL
20 SUBDIVISION OF THIS STATE IS PROPERLY NOTIFIED OF THE NECESSARY REMOVAL,
21 DISCONTINUATION OR REPLACEMENT AND ANY REPLACEMENT TELECOMMUNICATIONS
22 EQUIPMENT IS SIMILAR TO THE EXISTING TELECOMMUNICATIONS EQUIPMENT.

23 18-803. Telecommunications providers; critical
24 telecommunications infrastructure; corporation
25 commission oversight; violations; civil penalties;
26 prohibition on receiving state and federal monies

27 A. ON OR BEFORE JANUARY 1 OF EACH YEAR, EACH TELECOMMUNICATIONS
28 PROVIDER SHALL CERTIFY TO THE CORPORATION COMMISSION THAT ALL CRITICAL
29 TELECOMMUNICATIONS INFRASTRUCTURE AND EQUIPMENT WITHIN THE
30 TELECOMMUNICATIONS PROVIDER'S OPERATION DO NOT USE OR PROVIDE ANY
31 TELECOMMUNICATIONS EQUIPMENT OR SERVICE THAT IS PROHIBITED BY SECTION
32 18-802.

33 B. A TELECOMMUNICATIONS PROVIDER THAT VIOLATES THIS SECTION IS
34 SUBJECT TO A CIVIL PENALTY OF AT LEAST \$10,000 PER DAY AND NOT MORE THAN
35 \$100,000 PER DAY OF NONCOMPLIANCE WITH THIS SECTION.

36 C. A TELECOMMUNICATIONS PROVIDER THAT KNOWINGLY SUBMITS A FALSE
37 CERTIFICATION PURSUANT TO SUBSECTION A OF THIS SECTION IS SUBJECT TO A
38 CIVIL PENALTY OF AT LEAST \$10,000 PER DAY AND NOT MORE THAN \$100,000 PER
39 DAY OF NONCOMPLIANCE.

40 D. A TELECOMMUNICATIONS PROVIDER THAT FAILS TO COMPLY WITH THIS
41 SECTION IS PROHIBITED FROM RECEIVING ANY STATE OR LOCAL MONIES TO DEVELOP
42 OR SUPPORT NEW OR EXISTING CRITICAL TELECOMMUNICATIONS INFRASTRUCTURE AND
43 IS PROHIBITED FROM RECEIVING ANY FEDERAL MONIES THAT ARE SUBJECT TO
44 DISTRIBUTION BY STATE OR LOCAL GOVERNMENTS TO DEVELOP OR SUPPORT NEW OR
45 EXISTING CRITICAL TELECOMMUNICATIONS INFRASTRUCTURE.

46 Sec. 2. Purpose

Senate Amendments to S.B. 1046

1 The purpose of this act is to secure Arizona's telecommunications
2 grid and protect national security by eliminating from Arizona's
3 telecommunications grid telecommunications hardware and software that come
4 from foreign adversaries and sanctioned entities.

5 Sec. 3. Effective date

6 This act is effective from and after December 31, 2026.

7 Sec. 4. Short title

8 This act shall be known and may be cited as the "Secure
9 Telecommunications Act of 2026".

10 Enroll and engross to conform

11 Amend title to conform

1046PS.docx

02/10/2026

10:48 AM

S: KJA/hk

130RCHYGY